

NEW ZEALAND 2003

1. Overview of the system

The provision of social security benefits in New Zealand is funded from general taxation and not specific social security contributions. For example, social security benefits for the unemployed are not funded from specific employee/employer contributions. There are no minimum working hours or earnings required in order for a person to be covered by the social security provisions. All New Zealanders regardless of their employment history are covered by the benefits provided under the Social Security Act 1964. All benefits are payable without a fixed duration. In addition to the specific qualifying criteria for each benefit, provision is subject to a New Zealand residence requirement and personal income (joint income in the case of a married couple).

A guaranteed minimum family income (family tax credit) exists, but only for non-beneficiary families with children whose main source of income is salary or wages. A family assistance programme is also available consisting of a child tax credit, parental tax credit and family support tax credit. The tax unit is based on personal income, although eligibility for family tax credits is based on combined family income. At 30 June 2003, the average taxable income of personal taxpayers was NZD 26 424, while the average taxable income for those in paid employment was NZD 38 885.

The 2003 AW earnings level is NZD 36993.

2. Unemployment insurance

There is no unemployment insurance.

3. Unemployment assistance

3.1 *Conditions for receipt*

A person is entitled to the Unemployment Benefit provided they are available and willing to undertake full-time paid employment. A person must have resided in New Zealand for at least two years and be over the age of 18, or alternatively over the age of 16, and married with one or more dependent children. They must not be in full-time employment (defined as working 30 or more hours per week), but available for and taking reasonable steps to find full-time employment. These are referred to as the work test provisions.

3.1.1 *Employment conditions*

None.

3.1.2 *Contribution conditions*

None.

3.2 *Calculation of benefit amount*

3.2.1 *Calculation of gross benefit*

Entitlement is based on the family, not on the individual.

Family type	Gross rate (NZD per 4 weeks)
Single 18-19 at home	507.12
Single 18-19 away from home	633.88
Single 20-24	633.88
Single 25 and over	763.00
Single parent + 1 child	1 116.80
Single parent + 2 or more children	1 223.48
Married couple	1 267.76
Married couple with children	1 347.20

In the case of married couples, each partner receives half of the total benefit.

3.2.2 *Income and earnings disregards*

The net payment is reduced by a certain percentage of gross before tax earnings:

Gross income (in NZD per week)	Reduction (in net benefit)
Exceeding NZD 80	70%

The unit of income assessment is personal income or joint income in the case of married couple.

3.3 *Tax treatment of benefit*

Benefits are taxable with each spouse receiving half of the benefit entitlement for taxation purposes.

3.4. *Benefit duration*

The benefit is payable indefinitely, however, a stand down is applied to new applicants. The length of the stand down (1-10 weeks) is based on gross income and family circumstances in the 6 months prior to the date of benefit entitlement. A longer waiting period (13 weeks) applies to an applicant for an employment-related benefit who has left their employment without a good reason, or who has lost their employment due to serious misconduct.

3.5 *Treatment of particular groups*

3.5.1 *Young people*

The Independent Youth Benefit (IYB) rate in April 2003 was NZD 633.88 gross for each four-week period. The basic qualification for the IYB requires the applicant to be 16 or 17 years of age, to be without a dependent child or dependent children, and to have resided in New Zealand for not less than 2 years. An applicant for IYB must not be living with their parents or expect to be financially dependent on their parents, due to a breakdown in family circumstances. In order to receive IYB a person must be unemployed, temporarily incapacitated, full-time employment related training, or full-time at secondary school. Tertiary students are not eligible for the IYB as they are able to apply for a student allowance through the Ministry of Social Development. The Job Search Allowance for 16-17 year olds was repealed on 1 January 1998.

3.5.2 *Older workers*

The work test provisions (see section 3.1) are relaxed for older job seekers. Recipients of work tested benefits are exempt from the work test in the following situations:

- If they are aged 55 years or over and have been subject to the work test for at least 6 months since reaching that age. (Note that this was removed on 1 December 2003)
- If they are aged over 60 years.

Universal Superannuation is payable from age 65.

4. *Social assistance*

No information.

5. *Housing benefits*

5.1 *Conditions for receipt*

Payable to those with high accommodation costs (private rent, board or home ownership costs) and low income/assets.

5.2 *Calculation of benefit amount*

The calculation of the benefit is based on actual accommodation costs.

5.2.1 *Calculation of gross benefit*

For beneficiaries in rented accommodation or boarding, the rate payable is 70 per cent of the accommodation costs exceeding 25 per cent of the after tax rate of benefit plus the first child rate of Family Support for people with children to which the household would be eligible (see section 3.2.1). For beneficiaries who own their own home, the rate payable is 70 per cent of the accommodation costs exceeding 25 per cent of the after tax rate of benefit plus the first child rate of Family Support for people with children to which the household would be eligible. . For low income working families the rate payable

is 70% of the accommodation costs exceeding 25 per cent (30 per cent if they own their home) of the appropriate rate of Invalids Benefit plus the first child rate of Family Support. The maximum housing benefits are regionally determined. For example, the housing benefit available in Auckland reflects the higher accommodation costs in that city.

Family type	Weekly maximum (in NZD)		From 1 April 2003, rest of New Zealand
	Area 1	Area 2	
1 person	100	65	45
2 people	115	75	55
3+ people	150	100	75

Area 1: Auckland.

Area 2: Hamilton, Tauranga, Rotorua, Napier, Hastings, Palmerston North, Wellington, Nelson and Christchurch.

5.2.2 *Income and earnings disregards*

For beneficiaries receiving the Unemployment Benefit or any other benefit, the housing benefit is reduced by 25 cents per dollar for gross earnings up to NZD 80 per week (earnings of both partners are added). At that stage the entitlement remains fixed for as long as the applicant remains on benefit (or unless earnings cease). For non-beneficiaries the entitlement is reduced by 25 cents for every dollar earned above the applicable gross weekly rate of Invalid's Benefit plus an amount of NZD 17.92.

Family type	Invalids benefit (NZD per 4 weeks), gross rate	Resulting Income Threshold (NZD per 4 weeks)
Single 16-17 years	772.4	844.08
Single 18 years and over	967.52	1 039.2
Married person with no children	797.04	868.72
Single person with 1 child	1 288.44	1 360.12
Single person with 2 or more children	1 387.68	1 459.36
Married person with 1 or more children	797.04	868.72

A cash assets test is also applied. For a married couple or a single person with a dependent child or children, every NZD 100 of cash assets over NZD 5 400 held is treated as NZD 1.00 per week income. In the case of a single person, every NZD 100 of cash assets over NZD 2 700 held is treated as NZD 1.00 per week income. Assets exceeding NZD 16 200 in the case of a married person/single person with a dependent child or NZD 8 100 in any other case preclude entitlement.

5.3 *Tax treatment of benefit*

Not taxable.

5.4 Treatment of particular groups

Tenants who live in a state house receive a rental subsidy through Income Related Rents, and are not eligible for the Accommodation Supplement. The Income Related Rent subsidy reduces the amount of rent payable to 25 per cent of the person's net income.

6. Family benefits

6.1 Conditions for receipt

The Family Support tax credit is available to families on low incomes who have children. For beneficiary families it is paid with their weekly benefit. For non-beneficiary families, payments are made fortnightly by the Inland Revenue Department (IRD) with an end-of year square up, or in a lump sum at the end of the tax year.

6.2 Calculation of benefit amount

The amounts are differentiated by age of the child.

6.2.1 Calculation of gross benefit

The 4-weekly amounts in NZD are:

Number of children	Gross rate per child (NZD per 4 weeks)
For the eldest child:	
Aged 0 – 15 years	188
Aged 16 – 18 years	240
For each additional child:	
Aged 0 – 12 years	128
Aged 13 – 15 years	160
Aged 16 – 18 years	240

6.2.2 Income and earnings

The tax credit is reduced by 18 cents per dollar earned between (joint in the case of a couple) NZD 20 000 – 27 000 and by 30 cents per dollar earned above NZD 27 000.

6.3 Tax treatment of benefit

Not taxable.

6.4 Treatment of particular groups

None.

7. Child-care benefits

The Childcare Assistance Programme (CCA) includes two benefits – the Childcare Subsidy for preschool children and Out of School Care and Recreation (OSCAR) for school age (5-13 years) children.

Child-Care Subsidy: the primary objective of the Childcare Subsidy (CCS) is to assist low-income families in education, training or employment (and families with disabilities or illness) to access approved early childhood services. The Childcare Subsidy is payable to the provider of Child-Care. The rate payable takes into account an applicant's income and the number of children in the family (see table overleaf).

Out of School Care and Recreation Subsidy (OSCAR): The primary objective of the OSCAR subsidy is to help caregivers meet the costs associated with out of school care while they work or actively prepare for work through training or education. The subsidy covers out of school care and school holiday programmes while the parent or caregiver works or actively prepares for work (including travel time). The rate payable takes into account an applicant's income and number of children in the family. The subsidy is payable to the provider of OSCAR services. It is directed towards parents with primary school aged children (5-13 years old).

7.1 Conditions for receipt

Families who meet the income test and are in work related activities may access up to 50 hours subsidised child-care per week during the time they are engaged in those activities, including travel time.¹ All other low-income families may be eligible for 9 hours of Childcare Subsidy per week.

7.2 Calculation of benefit amount

7.2.1 Calculation of gross benefit

The maximum rate for 50 hours childcare in 2003 is NZD \$127.00 per week.

Childcare assistance income thresholds (gross weekly)

Number of children		Income per week (in NZD)		
1	Up to 520	521 - 570	571 - 620	621+
2	Up to 640	641 - 690	691 - 740	741+
3+	Up to 750	751 - 800	801 - 850	851
<i>Rate applicable</i>	Rate 1	Rate 2	Rate 3	Nil

Childcare assistance rates of payment (gross rates in NZD)

	Rate applicable		
	Rate 1	Rate 2	Rate 3
Childcare subsidy hourly rate	2.54	1.77	0.98
Maximum weekly rates (up to 37 hours)	127.00	88.50	49.00
OSCAR subsidy hourly rate	1.96	1.37	0.76

1. Note that this was increased from 37 hours from 1 July 2003.

Maximum weekly rates:

• Term time (up to 20 hours per week)	39.20	27.40	15.20
• Holidays (up to 50 hours per week)	98.00	68.50	38.00

For full day child-care the maximum rate is NZD 127.00 per week per child (50 hours or more per week).

7.2.2 *Income and earnings disregard*

Benefits are reduced with gross earnings, see section 7.2.1

7.3 *Tax treatment of benefit*

Not taxable.

7.4 *Treatment of particular groups*

None.

8. Employment-conditional benefits

8.1 *Conditions for receipt*

The guaranteed minimum family income (known as the Family Tax Credit) is only available to non-beneficiary families. To qualify, a principal child carer or partner must work for salary or wages. This work must be for at least 20 hours per week in a sole parent family and a combined 30 hours per week in a two-parent family. The self-employed are not eligible for the Family Tax Credit.

8.2 *Calculation of benefit amount*

8.2.1 *Calculation of gross benefit*

The Family Tax Credit ensures a minimum net income of NZD 290 net per week (NZD 15 080 net per annum) before Family Support and the Child Tax Credit.

8.2.2 *Income and earnings disregards*

Family, housing and child-care benefits are excluded from the income test.

8.3 *Tax treatment of benefit*

Not taxable.

8.4 *Benefit duration*

Indefinite.

8.5 *Treatment of particular groups*

8.5.1 *Young persons*

None.

8.5.2 *Older persons*

None.

9. *Sole parent benefits*

Sole parents generally qualify for a Domestic Purposes Benefit (provided that they have a qualifying child, and are the primary carer for that child). The payment rate is the same as the Unemployment Benefit but without the strict income and work tests (see section 3.2.2). There is an earnings disregard of NZD 80 per week, after which benefits are reduced by 30 cents for each dollar of earnings up to NZD 180. Earnings above NZD 180 per week reduce the benefit by 70 cents for each dollar earned. From 26 August 2002, this abatement regime applied to all DPB recipients regardless of the age of their youngest child.

From 10 March 2003, the work test was removed from the Domestic Purposes and Widow's Benefit. Previously the age of the youngest child determined the work test requirements for sole parents in receipt of the DPB or Widows Benefit. Instead people on these benefits participate in a planning process that promotes goal setting and planning for the time when their circumstances allow them to successfully combine parenting and work.

10. *Tax system*

10.1 *Income tax rate schedule*

10.1.1 *Tax allowances and tax credits:*

Low Income Earner Rebates:

- *Taxable income under NZD 38 000 rebate:* 4.5 cents per dollar of income up to NZD 9 500 (thus maximum is NZD 427.50). Over the income range from NZD 9 500 to 38 000, the rebate is gradually reduced at 1.5 cents per dollar, resulting in an effective tax rate of 21 per cent over that range.
- *Taxable income under NZD 9 880 rebate:* a maximum rebate of NZD 728. The rebate is reduced by 20 cents per dollar earned in excess of NZD 6 240. This rebate is only available for people working 20 hours per week or more.

Family Support Tax Credit: The Family Support tax credit is available to families on low incomes who have children. For beneficiary families it is paid with their weekly benefit. For non-beneficiary families, payments are made fortnightly by the Inland Revenue Department (IRD) with an end-of year square up, or in a lump sum at the end of the tax year. The yearly amounts in NZD are:

Number of children	Gross rate per child (NZD per 4 weeks)
For the eldest child	
Aged 0 – 15 years	188
Aged 16 – 18 years	240
For each additional child	
Aged 0 – 12 years	128
Aged 13 – 15 years	160
Aged 16 – 18 years	240

The tax credit is reduced by 18 cents per dollar earned between (joint in the case of a couple) NZD 20 000 – 27 000 and by 30 cents per dollar earned above NZD 27 000.

Child Tax Credit: The Child Tax Credit is available to families not receiving an income-tested benefit, veteran’s pension, New Zealand superannuation, student allowance or a weekly accident compensation for a period of more than 3 months. The level of assistance it provides is NZD 780 per child per year. It is affected by the abatement regime used with the family support tax credit, although it is unaffected until the latter has been abated to zero. In effect it is part of the family support tax credit for working families.

Family Tax Credit: The Family Tax Credit is a scheme that ensures a guaranteed minimum family net income (after tax and ACC contributions) for all full-time earners with dependent children. The guaranteed minimum after-tax income is NZD 290 per week plus family support tax credit.

The collection of these tax credits is referred to as “Family Plus.”

10.1.2 The definition of taxable income

Gross family income including taxable benefits.

10.1.3 The tax schedule

	Gross taxable income (NZD per year)	%
Statutory tax rate	0 – 38 000	19.5
	38 000 – 60 000	33
	Above 60 000	39
Effective tax rate*	0 – 9 500	15
	9 501 – 38 000	21
	38 001 – 60 000	33
	Over 60 000	39

* Effective tax rates incorporate the “taxable income under NZD 38 000 rebate”.

A tax rebate of up to NZD 310 per year is also available to wage and salary earners in respect of costs incurred with childcare or a housekeeper/domestic help. If costs are NZD 940 or more the maximum rebate of NZD 310 applies. If less than NZD 940, then the rebate is equivalent to the actual costs multiplied by 0.33.

10.2 *Treatment of family income*

Individuals are taxed separately, although combined family income is the unit of assessment for Family Plus tax credits.

10.3 *Social security contribution schedule*

The Accident Compensation Corporation (ACC) provides compulsory, no fault insurance against injury by accident. It covers a range of accident related costs and provides weekly compensation at 80 percent of pre-injury weekly earnings (up to a maximum) when a person is unable to work due to a personal injury covered by the ACC scheme. The ACC earner levy is charged on gross earned income. For 2003, the levy was 1.2%.

11. *Part-time work*

11.1 *Special benefit rules for part-time work*

None.

11.2 *Special tax and social security contribution rules for part-time work*

None.

12. *Policy developments*

12.1 *Policy changes introduced in the last year*

A number of policy initiatives were introduced during 2003. These included:

The youth and adult minimum wage was increased in March 2003 to reflect the movement in average ordinary time weekly earnings over the previous year. From June 2003 the minimum wage for trainees was set equivalent to the youth minimum wage. Prior to this there was no minimum for trainees.

Substantial changes to the Domestic Purposes Benefit and Widows Benefit. These changes came into effect on 10 March 2003. The work test was abolished and both groups are now required to develop an annual plan detailing the steps they intend to take to move back into the workforce when parenting responsibilities and individual circumstances allow. The age of the youngest child in a family will no longer determine whether sole parents on DPB and WB are required to work, and whether they work part or full time. The income tests were also standardised.

In June 2003 the Prostitution Reform Act was introduced, however refusal to work as a sex worker will not breach the conditions of the work test. Also, no non-entitlement period will apply for Unemployment Benefit, for people who voluntarily left sex work.

The maximum number of hours of subsidised childcare for low income families was increased from 37 hours to 50 hours per week from 1 July 2003.

In October 2003, further changes were made to drug testing and to the work test.

From 1 July 2003 the maximum allowable level of grant for help with funeral costs was increased from \$1,236.26 NZ to \$1,545.33, and will henceforth be annually adjusted in line with inflation.

12.2 Policy changes announced

In the 2003 budget, the government also announced increases to Family Support, Child Tax Credit and Parental Tax Credit income thresholds. From 1 April 2004, the thresholds for abatement of these tax credits are to increase from \$20,000 NZ to \$20,356 and from \$27,000 to \$27,481.

In 2003, the government also announced a package of initiatives entitled “Jobs Jolt”. This was a range of initiatives designed to address skill shortages and get more New Zealanders into work. The package contains ten specific initiatives that fall into two categories:

1. Time limited programmes targeted at assisting jobseekers into employment, and
2. Ongoing initiatives that increase the level of activity of benefit recipients with a focus on assisting people into employment.

The initiatives included:

More active case management for older workers

Clarification of the work test obligations

Individualised employment coaching for some difficult to place clients

Extra help for unemployed 8 years plus

Job Partnerships with Industry

Enhanced case management for sickness and invalid clients

Additional support for sole parents with parenting and childcare issues
